STUDENT RESEARCH

PRADA

Luxury Clothing Industry, Hong Kong Stock Exchange

Valuation Date: January 4th, 2025.

Current Price: 4.96 EUR. Target Price: 9.9 EUR

Upside: 99%. Recommendation: BUY

Market data (04/01/2025)		
Data	**Value in HKD**	**Value in EUR**
Ticker Bloomberg		1913 HK
Ticker Reuteurs		1913.HK
Ticker S&P Capital IQ		SEHK:1913
Shares O/S (m)		2,558.8
Float (%)		20%
Closing Price	45.06	4.96
Avg 3M Dly Vlm (m€)		2.15
52-wk High	71.7	7.9
52-wk Low	39.6	4.4
Gap (%Low)		13.9%
Market Capitalisation (m€)	1,15,182	12,670
Net debt 2024 (m€)		1,768
Price Earning Ratio		15,03x
Price to Book Ratio		3,8x
Basic EPS		3.01
Dividend yield 2024 %		3.20%

Source: Capital IQ

Exchange rate HKD / EUR	**0.11**

Summary

With a century-long history, Prada S.p.A. (1913.HK) is a global luxury powerhouse that has successfully evolved from a traditional family atelier to a modern, multi-brand group. Its strong profitability, fast-growing secondary brands, and tactical placement in the "new normal" of the luxury market make it significant in a "Buy" recommendation.

Foundational Summary

"Fratelli Prada," a modest leather goods store in Milan's Galleria Vittorio Emanuele II, was established by Mario Prada and his brother Martino.

Artisanal Heritage: initially focused on producing luxury accessories, luggage, and premium leather trunks for the European nobility. It started serving the Italian Royal Family as an official supplier in 1919.

The Bertelli-Prada Pivot (1978): Miuccia Prada, Mario's granddaughter, assumed creative leadership and teamed up with businessman Patrizio Bertelli. A new business model with direct internal control over all production processes was introduced by this partnership.

Brand Diversification: The introduction of ready-to-wear in 1988, the introduction of the edgier Miu Miu brand in 1993, and the entry of eyewear and fragrances in the early 2000s are significant expansion milestones.

Capital Markets (2011): In order to gain access to Asia's expanding luxury consumer base, Prada became the first Italian company to list on the Hong Kong Stock Exchange.

Investment Significance for a "Buy" Recommendation

We observe that Prada frequently makes a strong investment case because of its special fusion of cultural significance and financial stability:

Exceptional Miu Miu Growth: Miu Miu has become a high-growth engine, with retail sales rising by 93% in 2024, while the flagship brand may undergo cyclical consolidation. When other monolithic brands encounter difficulties, it offers a vital hedge and growth catalyst.

Strong Profitability & Resilient Margins: Even during market slowdowns, the group maintains a high gross margin of about 80% and an EBIT margin of about 23.6%, exhibiting strong pricing power and operational efficiency.

High Brand Heat & Cultural Relevance: Prada competes on cutting-edge fashion and cultural "now-ness," drawing in a younger, highly engaged Gen Z demographic that accounts for a sizable portion of new customer growth, in contrast to purely "investment-grade" luxury brands.

Strategic Expansion (Versace Acquisition): The announced €1.25 billion acquisition of Versace in April 2025 is a game-changing step that is anticipated to further diversify revenue streams and take advantage of Prada's vertically integrated industrial platform in order to revitalize a global icon.

Vertical Integration: Compared to many competitors, Prada maintains superior control over its value chain, guaranteeing quality and agility in product development, thanks to its 26 in-house factories as of 2024.

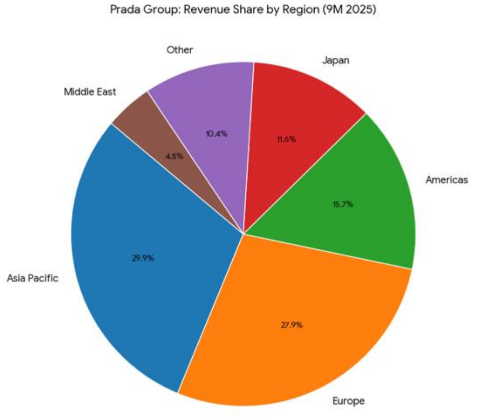
PNL Forecast

PRADA S.p.A	Historical					Projected				
in millions of euros	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue	2,423	3,366	4,201	4,726	5,432	5,730	6,106	6,583	7,206	7,844
%growth		38.9%	24.8%	12.5%	14.9%	5.5%	6.6%	7.8%	9.5%	8.9%
COGS	- 679	- 818	- 889	- 925	- 1,095	- 1,146	- 1,221	- 1,317	- 1,441	- 1,569
% of sales	-28.0%	-24.3%	-21.2%	-19.6%	-20.2%	20.0%	20.0%	20.0%	20.0%	20.0%
Gross margin	1,743	2,547	3,312	3,802	4,337	4,584	4,885	5,267	5,765	6,275
% of sales	72.0%	75.7%	78.8%	80.4%	79.8%	80.00%	80.00%	80.00%	80.00%	80.00%
SG&A	-1414.24	-1648.30	-1970.34	-2169.18	-2425.96	-2670.86	-2809.88	-3014.89	-3298.38	-3612.03
% of sales	-58%	-49%	-47%	-46%	-45%	-46.6%	-46.0%	-45.8%	-45.8%	-46.0%
EBITDA	668	1,114	1,508	1,738	2,014	1,913	2,075	2,252	2,466	2,663
% of sales	27.6%	33.1%	35.9%	36.8%	37.1%	33.39%	33.98%	34.20%	34.23%	33.95%
D&A	-648	-624	-662	-676	-735	-798	-838	-910	-992	-1082
% of sales	-26.7%	-18.5%	-15.8%	-14.3%	-13.5%	-13.92%	-13.72%	-13.82%	-13.77%	-13.80%
EBIT	20	489	845	1,062	1,280	1,116	1,237	1,342	1,474	1,581
% of sales	0.8%	14.5%	20.1%	22.5%	23.6%	19.47%	20.26%	20.38%	20.46%	20.16%
Interest expense	-72	-68	-65	-90	-91					
Taxes	- 3	- 127	- 242	- 298	- 345	- 337	- 374	- 405	- 445	- 477
Net income	- 54	295	538	673	843	779	863	937	1,029	1,103
% of sales	-2.2%	8.8%	12.8%	14.2%	15.5%	13.6%	14.1%	14.2%	14.3%	14.1%

Business Description

Geographical diversification .
The Prada Group has a well-diversified, global, integrated logistics system that includes more than 620 stores worldwide as of October 2023, with an estimated entry in early May 2024. This is accomplished through a well-structured and managed manufacturing and distribution network throughout the Asia-Pacific region and Europe, with a growing and developing network within North America and South America.

Manufacturing & Industrial Diversification .
Prada makes use of geographical diversity for their sales, but is also strategically diversifying their production processes across different geographic locations; however, the majority of production will take place in Italy so that "Made in Italy" can retain its prestige. The company currently has 26 Production Sites , with 21 of these production facilities situated in Italy. In addition to their Italian production locations, the company also possesses production facilities in several other countries including the United Kingdom, France and Romania.



Strategic Evolution: The Versace Acquisition & Diversification Strategy
Just last month, Prada completed their acquisition of Versace for €1.25 billion. This acquisition is expected to have a significant impact on Prada's global revenue distribution. Projected revenue forecasts indicate that acquiring Versace will substantially increase Prada's geographical presence in both North America and, Europe, Middle East, and Africa (EMEA). As a result of the acquisition, Prada is poised to become more regionally diversified globally. With 90% of Revenues Generated Via Direct Distribution, Prada's business model enables it to control its perceived brand image around the world.

Revenue Breakdown by Region

The data highlights Prada's strong global footprint, with Asia Pacific and Europe collectively accounting for nearly 60% of total revenue.

•**Asia Pacific (€1,216m):** Remains the primary market, driven by a strong recovery in mainland China and robust demand across the region.

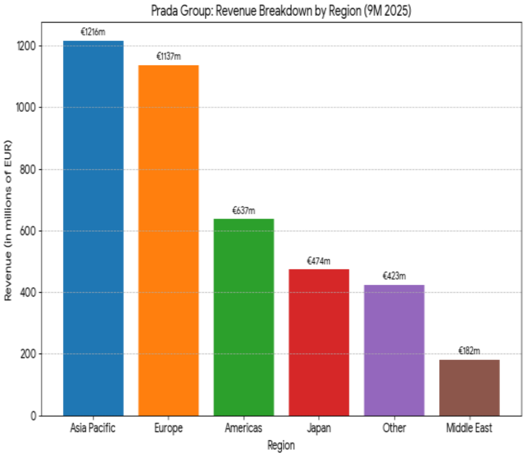
•**Europe (€1,137m):** Shows resilient performance supported by both local consumption and a steady flow of high-spending tourists.

•**Americas (€637m):** Experienced a significant sequential acceleration indicating a rebound in the U.S. luxury market.

•**Japan (€474m):** Continues to be a key market with solid local demand, though growth rates are normalizing after a record-breaking 2024.

•**Middle East (€182m):** While the smallest in absolute terms, it is the fastest-growing region reflecting successful brand positioning and high local desirability.

•**Other (€423m):** Primarily comprises Wholesale revenue and Royalties



Key Drivers of Strong Cash Flow Generation

Premium Retail Mix: Prada has successfully pivoted to a Direct-to-Consumer model. By controlling its own distribution, the group captures the full retail margin and minimizes credit risk associated with wholesale partners.

Pricing Power & Full-Price Strategy: A strict "no markdown" policy and high brand desirability ensure a high Gross Margin of 80%, translating directly into strong operating cash flows.

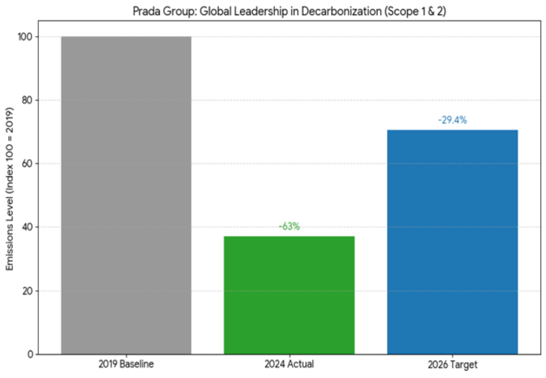
Operational Leverage via Miu Miu: Miu Miu's triple digit growth in certain regions utilizes the Group's existing industrial and corporate infrastructure. This allows incremental revenue to flow to the bottom line with minimal additional overhead.

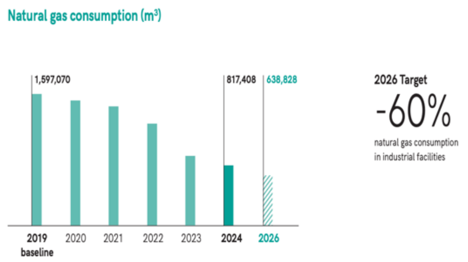
Vertical Integration: Owning 26 production sites allows for tight inventory management and just in time production of high-demand items reducing trapped cash in excess working capital.

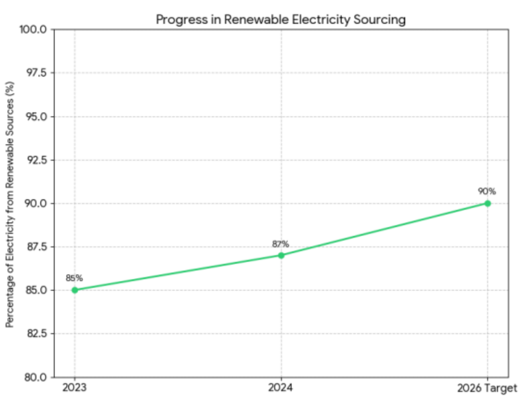
High-Margin Licensing: Strategic partnerships with L'Oréal and Luxottica provide steady, high margin royalty streams with virtually zero capital expenditure requirements.

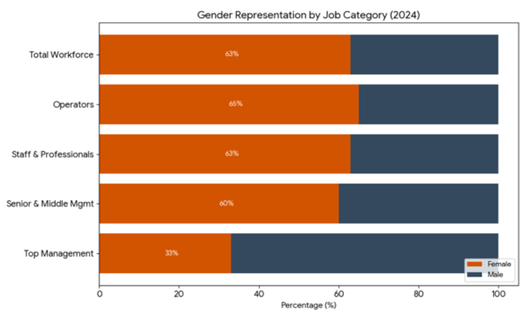
Self-Funding Growth: Despite heavy investment in store renovations and the €1.25bn Versace acquisition, Prada's robust free cash flow allows it to maintain a healthy balance sheet with a manageable Net Debt/EBITDA ratio.

PRADA's ESG Focus









Executive Summary: The ESG-Growth Nexus .
The link between high brand desirability and disciplined execution is an important aspect of an organization's successful implementation of an ESG strategy. In 2024, The Prada Group achieved double-digit revenue growth for the fourth straight year, posting a 17% increase in net revenue to €5.4 Billion. As the company continues to invest heavily in both industrial infrastructure as well as sustainability practices, this demonstrates that leadership in the area of ESG has proven to be a key enabler for the company achieving its continued growth in financial sustainability. .

ESG Focus: The Three Strategic Pillars. .
Prada's "IMPACT" strategy, formalized in 2021, categorizes its sustainability commitments into three distinctive pillars:

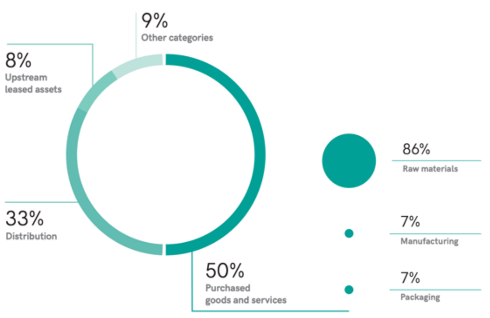
I. For Planet: Reducing the Environmental Footprint :
Prada is making a concerted effort to address climate change and to conserve natural ecosystems. To achieve this goal, several steps have been initiated: Decarbonization Roadmap The Group has established the "Science-Based Targets" (SBTi) framework to target an absolute reduction of 29.4% in Scope 1 and 2 emissions from 2019 levels by 2026 and a reduction of 42% in Scope 3 emissions from 2019 levels by 2029.
Raw Material Conversion. As part of an extensive transition plan, the company will use alternative, lower impact, raw materials, including recycled nylon and polyester.
Renewable Energ. Currently, more than 87% of the electricity purchased by the Group worldwide comes from renewable sources, and they have a target of 90% of total electricity purchases coming from renewable sources by the end of 2026.

II. For People: Fostering an Inclusive Workplace
Prada focuses on creating an inclusive culture by providing equal opportunities for everyone, supporting hard work, and taking care of their employees' health:
Gender Equality: Equal representation of men and women in leadership roles is a critical goal. In 2024, 46% of Top and Senior management positions were held by women.
Education & Expertise: The Academy of The Prada Group has been critical to maintaining the craft of handwork, training 120 young artisans in 2024 alone.
.

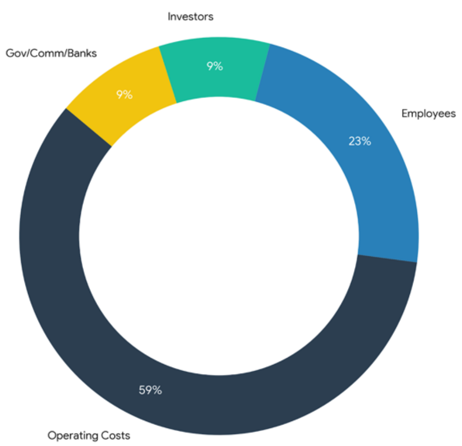
Parenting Policy: In 2025, the Group created a global Parenting Policy that gave the primary parental figure 14 weeks of fully paid leave and standard benefits to help them stay connected with their families through all locations where they conduct business.

III. For Culture: Contributing to a Sustainable Society
The Cultural Influence of Prada as a Pillar for Scientific and Educational Development (Prada Frames) uses its Cultural Influence of Prada to create a platform for the development of Scientific and Educational progress. Science.

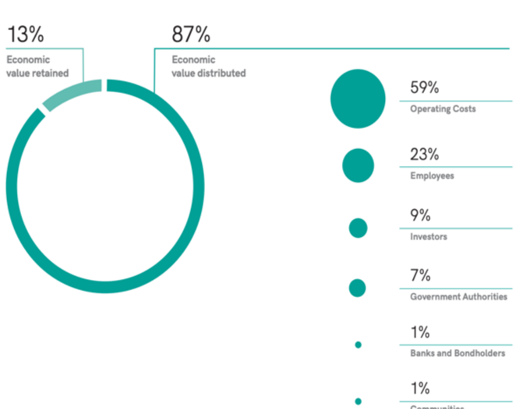
Scope 3 GHG emissions (tCO_2) main categories



2024 Economic Value Distribution (€5.44 Billion)



Economic value distributed and retained



Global Leadership in ESG.

Through transparency and collaboration across industries, Prada has been recognized as a leader in the luxury sector. In both 2023 and 2024, CDP awarded the Group an A- score for its continued leadership in climate action within the luxury sector. Together with LVMH and Cartier, Prada founded the Aura Blockchain Consortium to create new industry-wide standards for transparency and traceability through the use of blockchain technology. Additionally, as a founding member of The Fashion Pact, Prada is working with other global fashion leaders to create systemic changes that have an impact on climate, biodiversity, and ocean health.

Driving Financial Resilience and Sustainable Growth.
The integration of ESG into Prada's business model creates a "resilience engine" through three primary channels:

Economic Value Generation.
The Group generated € 5.44 billion in direct economic value in 2024 compared to € 4.72 billion in 2023, representing a 15% increase. Of the total direct economic value generated in 2024, 87% went back to the Group's stakeholders (including 23% to employees, 7% to the government, and 9% to investors) while the remainder of 13% was kept for the future and for future strategic investments.

Sustainable Finance as a Strategic Lever.
The Group has entered into a commitment to continue developing its environmental, social and governance practices by utilizing a new revolving credit facility with an interest rate linked to achieving ambitious greenhouse gas emissions reduction targets and promoting women in senior leadership positions. The Group's new revolving credit facility will provide access to less expensive capital while at the same time aligning the Group's financial interests with a commitment to a long-term strategy of responsible corporate citizenship.

Supply Chain Stability.
The primary factor in Prada's ongoing success is its commitment to "Made in Italy."
Prada maintains 87% of its industrial suppliers in Italy and 61% have been working with the Group for more than 10 years.
The localized, long-term nature of Prada's supply chain supports consistent high-quality production, limits exposure to geopolitical influences, and facilitates a more direct partnership on Environment and Social Governance (ESG) compliance.
Prada S.p.A. was the first luxury brand to implement Sustainability-Linked Loans (SLL), which provide interest rate reductions based on satisfaction of ESG criteria.
As part of this initiative, Prada S.p.A. added €100 million in SLL facilities from Intesa Sanpaolo and €90 million from UniCredit, with a focus on two KPIs: firstly, reducing industrial waste through recycling, and secondly, increasing the amount of solar energy generated and used by Prada at its Levanella facility.
To achieve these two KPIs, Prada also relied on previous SLLs provided by Crédit Agricole and Mizuho Bank, which were able to monitor progress against three basic KPIs:

1) Increasing the number of LEED Gold and Platinum certified stores in Prada's retail footprint,
2) Increasing the number of hours staff receive training,
3) Expanding the use of Prada Re-Nylon in production.

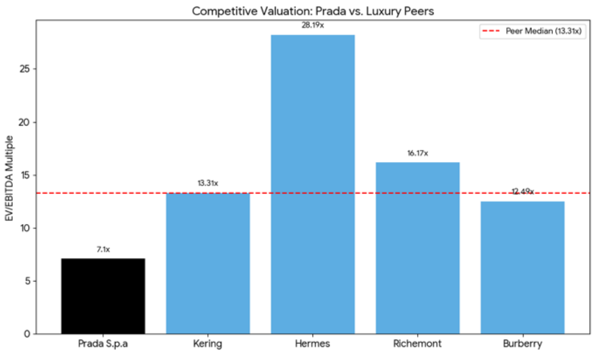
Industry Overview: Navigating the "New Normal"

Luxury products are gradually shifting away from the "Revenge Spending" that characterized the post-pandemic era and toward a disciplined approach known as the "New Normal."

Limited Visibility: The uncertainty associated with the macroeconomic environment in key luxury goods markets (such as the Eurozone and China) has created added difficulty for luxury houses in developing longer-term forecasts.

Brand Polarization: Consumers are focusing their purchases on "Power Brands" that deliver cultural relevance and investment potential. Prada is one of the companies that has seen significant growth from this move toward quality.

Regulatory Pressures: Greater scrutiny into the sustainability of the supply chain favors vertically integrated companies, like Prada, which can guarantee the source of their raw materials.



Competitive Positioning and Peer Analysis

Prada positions itself in the market as the "Intellectual's Luxury Brand." The way that Prada uses competitive positioning is the ability to establish new trends, not just follow existing ones.

A. Strategy Differentiation:

Miu Miu and PRADA have established a new market segment for Prada by utilizing Miu Miu to outpace the rest of the sector and creating a highly profitable, hyper-growth line of handbags and accessories specifically designed for the younger, more fashion-conscious end of the market (the youth).

B. Major Competitors

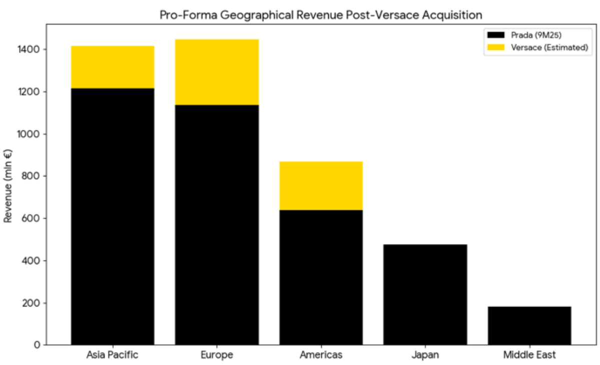
In the global luxury landscape, Prada competes with three distinct tiers of players:

Strategic Pillars of Growth

The Versace Turnaround (2025–2027)

The acquisition of Versace for €1.25 billion held great importance for Prada in terms of driving growth and profitability.

The issue affecting Versace right now is low margins (negative EBIT of High Single Digit) and growth that has plateaued despite widespread brand awareness.



Miu Miu's "Total Look" Strategy

Miu Miu is no longer just a secondary brand; it is a cultural phenomenon.

1.Retail Excellence: 9M-2025 performance saw +41% growth, driven by its "classic codes blended with contemporary irreverence."

2.New Categories: The launch of Miu Miu, the brand's first fragrance in collaboration with **L'Oréal**, marks its entry into the high-margin beauty sector, expected to be a major cash flow contributor by 2026.

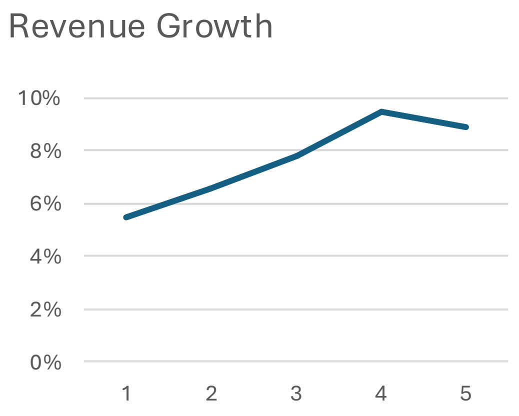
Presence in Emerging Markets

1. Asia Pacific - 30% revenue - Despite widespread concern about a slowdown in China, results for Q32025 from Prada showed re-acceleration as wealthier Chinese consumers consolidate their purchases to fewer established and highly prestigious brands
2. Middle East - +21% growth - due to this region's unique "Total Look" strategy, Fashion-conscious, high-spending locals are finding that this offers the best of both worlds.
3. America Rebound - +15% growth vs peers - Due to the extensive cultural significance of the brand and numerous pop-up locations, Prada has experienced a substantial growth in the U.S. market.

Competitor Tier	Key Names	Prada's Competitive Edge
Diversified Giants	LVMH, Kering	Prada offers a more "boutique" and intellectually consistent brand identity. Unlike Kering (heavily reliant on Gucci's turnaround), Prada has a balanced dual-engine (Prada + Miu Miu).
Pure Luxury	Hermès, Chanel	Prada provides a more accessible yet equally prestigious "Total Look" strategy. It is perceived as more "fashion-forward" and culturally edgy than the classic Hermès.
Heritage / "Quiet Luxury"	Richemont, Burberry	Prada's agility in the "Ready-to-Wear" category is superior to Richemont (traditionally strong in hard luxury/watches). Prada's brand heat is currently significantly higher than Burberry's.

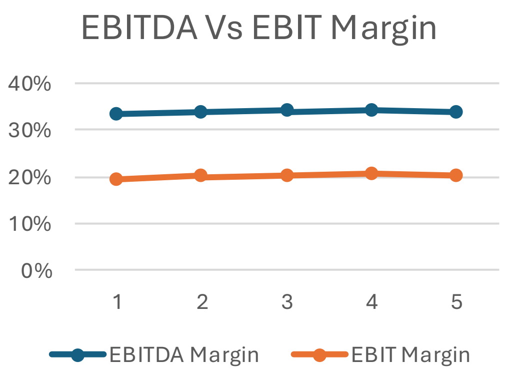
Financial Analysis

We forecasted the revenue grows from 5432 million euros to 5730 million euros which showcases a steady industry standard growth taking in consideration the newly orchestrated acquisition on Versace. These figures continues to grow till 2029, by when the revenue sits at an impressing 7844 million euros. Furthermore, margins and earnings should continue in the years ahead from 2025 to 2029 thanks to costs containments efforts and a better control of non-recurring items.



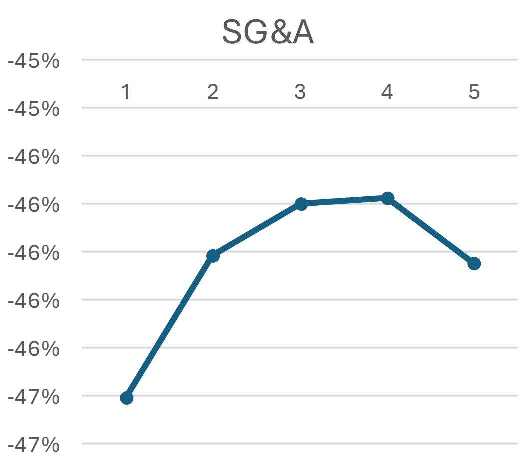
Analysis Overview

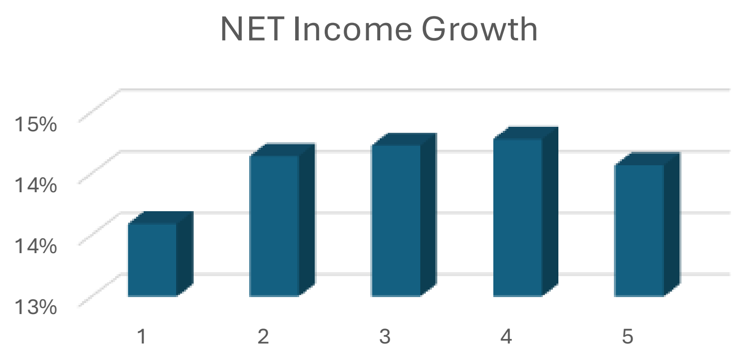
We think PRADA has the financial capacity to both promote value creation in its current activities and continue to expand through an acquisition strategy, given many of its operational and financial traits. The group enjoys more than sufficient cash flows and liquidity for upcoming initiatives. The capital structure is strong enough to sustain upcoming strategic initiatives, and the company should be able to lower its leverage.



Key Metrica	Forecasted				
	2025	2026	2027	2028	2029
Revenue Growth	5%	7%	8%	9%	9%
EBITDA Margin	33%	34%	34%	34%	34%
EBIT Margin	19%	20%	20%	20%	20%
SG&A	-47%	-46%	-46%	-46%	-46%
D&A	-14%	-14%	-14%	-14%	-14%
NET Income Growth	14%	14%	14%	14%	14%

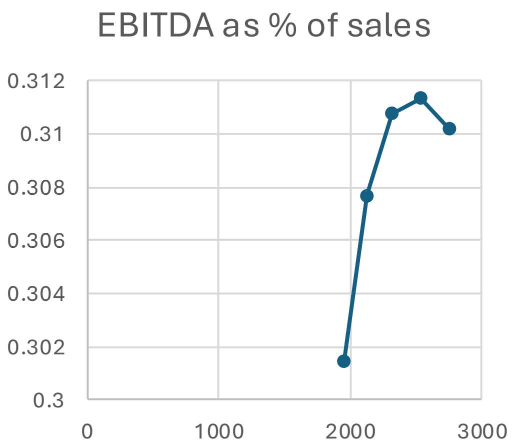
This healthy margins of EBIT and EBITDA is contributed by the fact that SG&A and D&A as a percentage of future sales remains in a very steady state which also considers the synergy factors that comes into play after the acquisition which took place in December 2025. Furthermore, we see a constant growth in the Net income of PRADA which also signifies the cash generating ability of the Company.

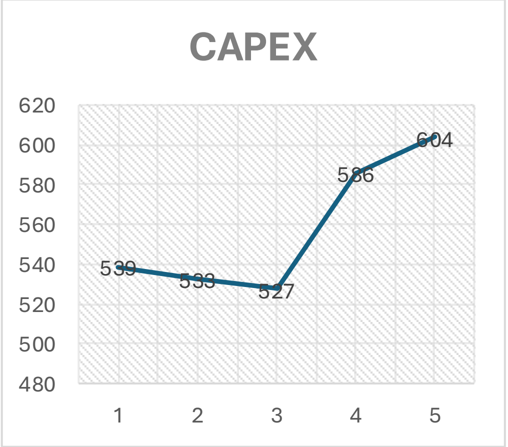




Consolidated PNL

PRADA	Projected				
in millions of euros	**2025**	**2026**	**2027**	**2028**	**2029**
Revenue	**6,470**	**6,897**	**7,438**	**8,129**	**8,841**
% growth		*6.6%*	*7.8%*	*9.3%*	*8.8%*
Gross margin	**5,102**	**5,439**	**5,865**	**6,411**	**6,973**
% of sales	*78.9%*	*78.9%*	*78.9%*	*78.9%*	*78.9%*
EBITDA	**1,950**	**2,122**	**2,312**	**2,531**	**2,743**
% of sales	*30.1%*	*30.8%*	*31.1%*	*31.1%*	*31.0%*
EBIT	**1,094**	**1,237**	**1,359**	**1,502**	**1,611**
% of sales	*16.9%*	*17.9%*	*18.3%*	*18.5%*	*18.2%*
D&A	**857**	**885**	**953**	**1,029**	**1,132**
% of sales	*13.2%*	*12.8%*	*12.8%*	*12.7%*	*12.8%*





Valuation

We use two valuation methods in order to issue a target price for PRADA. Firstly, we employ the DCF method. Secondly, we also compute peer valuation multiples using the EV/EBITDA ratio.

DCF Method: Target Price-9.9 EUR(+99% Upside)

Since PRADA is known for its strong free cash flows, which we anticipate will continue to be strong over the next years, we used the Discounted Cash Flow model. Because of PRADA's market position in the wine and spirits business and the company's stability in this sector, we were able to predict the intrinsic worth of the company. Based on the following primary assumptions, we arrived at a target price of €9.9:

Growth of organic sales, EBITDA:

We expect Ferrari to achieve a compound annual growth rate (CAGR) of 9.25% between 2025 and 2029, driven by multiple factors, which are: 1) The accountable synergies that come to play after taking over Versace, 2) Prada is still dedicated to a secondary listing on the Milan Stock Exchange (Borsa Italiano) as part of the "Dual Listing" milestone. A Milan listing is intended to draw in European investment funds, who are presently prohibited from holding Asian-listed companies, even if its main listing is still in Hong Kong (1913.HK), 3) Prada has pledged more than €1 billion for a five-year retail makeover that would turn its more than 600 locations into experience hubs. Mega-flagships in Top-Tier cities (Paris, New York, Tokyo, Shanghai) that blend upscale fashion with art galleries and gourmet offers should be the focus of flagship expansion, 4) PRADA promises production to be completely made in Italy from knitwear to tanneries. One of the few high-end companies pursuing complete vertical integration is Prada. To protect its supply chain from worldwide disruptions, the business keeps acquiring specialist Italian suppliers. With the goal of hiring hundreds of new craftspeople by 2027 to replace a retiring workforce, Prada Group Academy is expanding its internal school to teach the next generation of Italian artisans.

Capex, Working Capital:

Here we interpret that, Net Working Capital (NWC) management has undergone a strategic change. Although NWC as a percentage of sales has historically decreased from 27.5% in 2020 to 14.9% in 2024, it is expected to stabilize at a higher 16.0% starting in 2026, leading to steady annual cash outflows that will reach €114 million by 2029. The chart also shows Capital Expenditure (CAPEX), which is expected to vary between €527 million and €604 million during the forecast year. CAPEX spending is predicted to decline as a proportion of sales, from 8.3% in 2025 to 6.8% by 2029, even while absolute spending rises near the end of the decade. This suggests that the company expects to improve its investment efficiency as its revenue climbs.

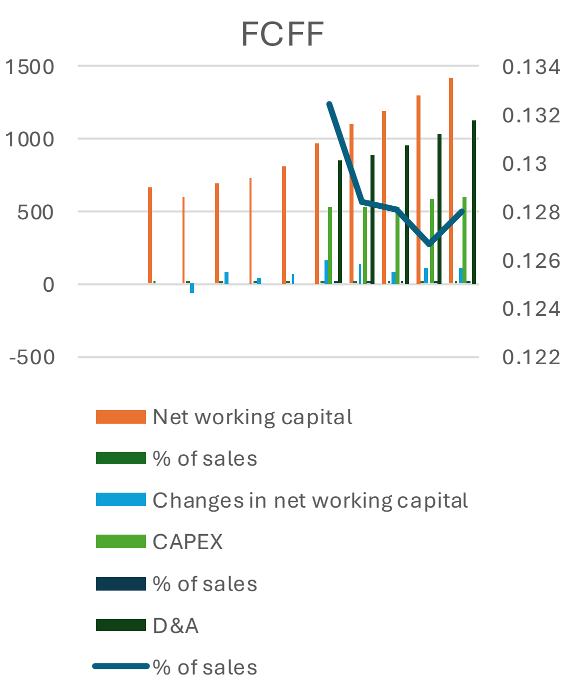
Free Cash Flow:

We calculated the Free Cash Flows to Firm from the detailed assumptions, which gives us cash flows of 919 million euros in 2025 to 1539 million euros in 2029.

FCFF	Projected				
in millions of euros	**2025**	**2026**	**2027**	**2028**	**2029**
Turnover	6,470	6,897	7,438	8,129	8,841
EBIT	1,094	1,237	1,359	1,502	1,611
Taxes	- 330	- 374	- 410	- 454	- 486
NOPAT	**763**	**863**	**949**	**1,048**	**1,124**
D&A	857	885	953	1,029	1,132
Changes in WCR	162	133	86	111	114
CAPEX	539	533	527	586	604
FCFF	**919**	**1,083**	**1,287**	**1,381**	**1,539**
% growth		*7%*	*8%*	*9%*	*9%*

Total DCFF	**4,977**
Total discounted Terminal value	**22,438**
Entreprise value	**27,415**

Enterprise Value	27,415
Cash *(on 30/06/2025)*	598
Debt	2,797
Equity Value	**25,216**
Number of shares	2,559
Share Price (in EUR)	**9.9**
Today's share price (in EUR)	4.96
Upside	**99%**



Beta: a weighted average beta of 0.94. We used a one-year regression between the firm's stock return and a Hong Kong market index, which is the most consistent market index. This data was also verified with the publicly available data from Capital IQ and Yahoo Finance.

Risk free rate: Prada's primary listing is in Hong Kong along with its presence in Europe, we use the average of Hong Kong and German 10-Year Government Bond Yield. This leads us to consider a risk-free rate of approximately 3.51%.

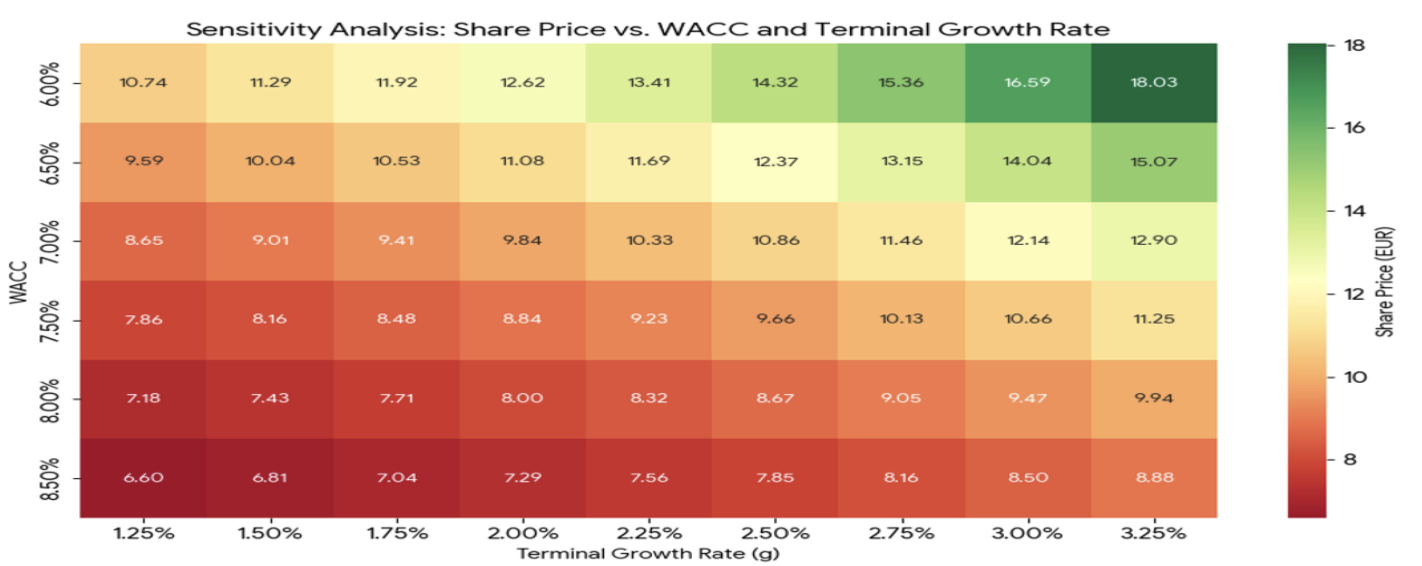
WACC calculation

$$WACC = \frac{Debt}{Debt+Equity} \times k_d \times (1-t) + \frac{Equity}{Debt+Equity} \times k_e$$

Cost of equity (ke)	**8.45%**
Company's beta (5Y Monthly) **(ß)**	0.94
Risk free-rate **(Rf)**	3.51%
Equity risk premium **(Rm - Rf)**	5.25%
After-tax Cost of debt (kd x (1-t))	**0.53%**
Interest & other financial income (expenses) (2024)	21
Total debt (2024)	2,797
Effective taxe rate	30.60%
Capital Structure (Debt + Equity)	**17,830**
Total Equity (2024)	15,033
Total Debt (2024)	2,797
Equity weight	**84%**
Debt weight	**16%**
WACC	**7.20%**

Cost of debt: We took the information about the total debt and interest expenses of PRADA from their financials available publicly, and calculated the after-tax cost of debt at 0.53%

Sensitivity Analysis: We took care to check that our result was not too sensitive to the growth rate at perpetuity and the WACC. We came to the conclusion that our DCF model was more sensitive to the WACC than the terminal growth for a 2.25% change.



LTM EBITDA	2014
Enterprise Value	26809
Cash(30/06/2025)	598
Debt	2797
Equity Value	24610
Number of Shares	2559
Share Price	9.62
Today's share price (in EUR	4.96
Upside	94%

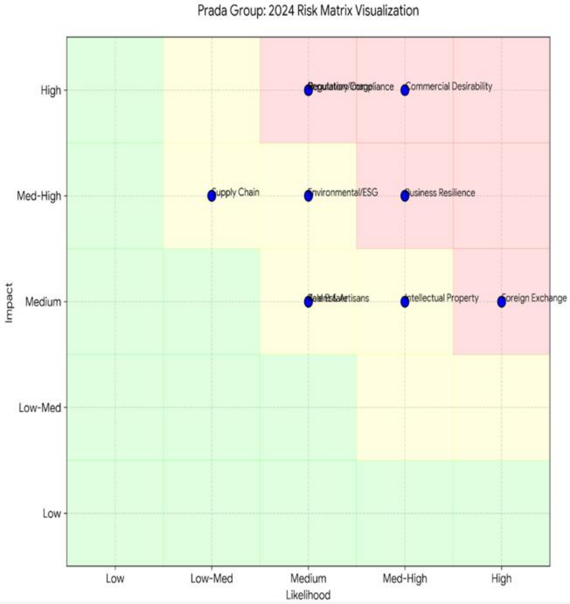
Relative Valuation Method: Target Price-9.62 EUR(+94% Upside)

Our research was limited to publicly traded businesses that could be fairly compared to PRADA. However, we did not give each of these businesses the same weight because of notable variations in their attributes, including size, geographic location, and portfolio makeup. We came up with a synthetic multiple that more accurately represents PRADA's profile because these factors can affect the EV/EBITDA multiple. We used the EV/EBITDA, the selected comparable include: Kering, Hermes, Richemont, Burberry Group. Based on this peer group, we derived a median EV/EBITDA multiple of 13.31x, which we applied to PRADA's figures. This approach results in an implied share price of 9.62, offering a potential upside of 94%.

MULTIPLES

Company	Market Cap (in EUR)	Enterprise Value (in EUR)	EV/EBITDA
Prada S.p.a	12600	14800	7.10
Kering	36910	52120	13.31
Hermes	222460	214200	28.19
Richemont	127730	125550	16.17
Burberry Group	6120	7590	12.49
		Median	13.31

Investment Risk



Market and Macroeconomic Risk

The Group works in the global luxury goods industry, which is susceptible to macroeconomic factors such shifts in consumer confidence, inflationary pressures, economic downturns, and geopolitical instability. Demand, sales volumes, and profitability in important markets could all be adversely affected.

Mitigation: Strong brand positioning, global revenue diversity, ongoing market situation monitoring, and preserving operational and cost structure flexibility to adjust to shifting economic conditions are some of the ways the Group reduces this risk.

Foreign Exchange Risk

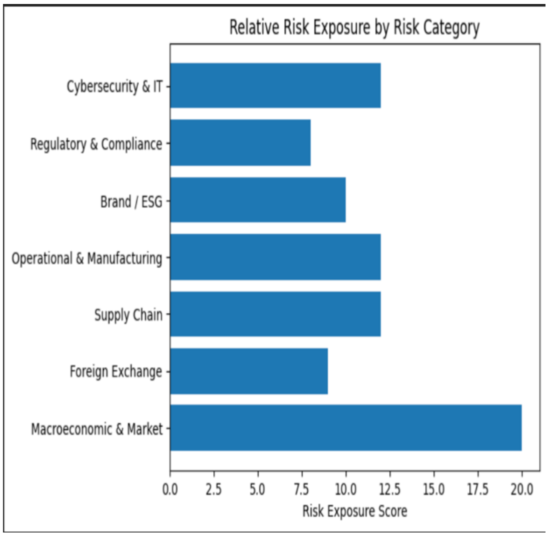
The Group's wide global reach exposes it to changes in foreign exchange rates, which could influence operational margins, revenues, and financial outcomes when converted into the reporting currency.

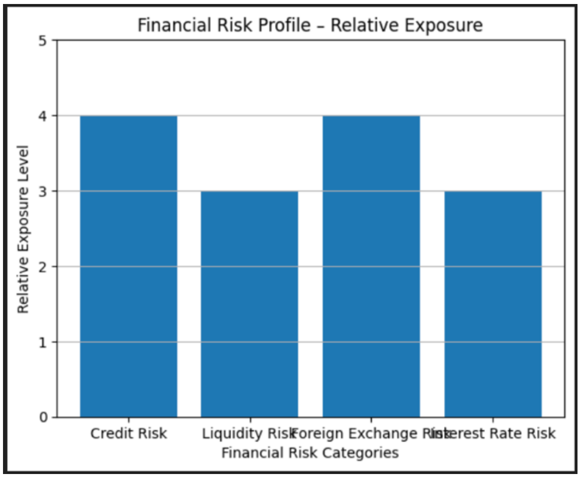
Mitigation: In accordance with its financial risk management principles, the Group actively controls foreign exchange exposure through natural hedging by matching revenues and expenses in the same currency and by engaging into derivative contracts to hedge identified future cash flows.

Brand, Reputational, and ESG Risk

The strength and perception of the Group's brands are directly related to its performance. Consumer trust and long-term value may be adversely affected by reputational harm resulting from ethical, social, environmental, or governance flaws.

Mitigation: To ensure responsible corporate conduct and transparency, the Group employs extensive ESG policies, sustainability programs, and ethical norms. These are backed by internal control systems and monitoring processes.





Supply Chain and Sourcing Risk

The Group depends on a complicated supply chain that includes manufacturers and specialist suppliers, especially for operations that need a lot of craftsmanship and premium raw materials. Production schedules, quality, and reputation could all be impacted by supplier disruptions or noncompliance.

Mitigation: To mitigate this risk, the Group maintains long-term partnerships, diversifies its supplier base, regularly monitors suppliers, and uses internal controls and audits to enforce adherence to ethical, social, and quality standards.

Operational and Manufacturing Risk

Inefficiencies, capacity limitations, production interruptions, and reliance on specialized personnel and artisanal knowledge are examples of operational risks. Delivery timetables and product quality could be negatively impacted by any operational execution failure.

Mitigation: To guarantee consistent quality and operational resilience, the Group makes constant investments in its industrial platform, production facilities, and personnel training. It also concentrates on process optimization and internal manufacturing capabilities.

Regulatory and Compliance Risk

The Group is subject to complicated and constantly changing legal and regulatory requirements, such as those pertaining to corporate governance, labor, and environmental protection, as a result of operating in several jurisdictions. Financial penalties and reputational damage could follow noncompliance.

Mitigation: Through organized control frameworks, specialized legal and compliance departments keep an eye on regulatory developments, update internal protocols, and guarantee conformity with relevant laws and regulations.

Cybersecurity and Information Systems Risk

Cyberattacks, data breaches, and IT system malfunctions pose hazards to the Group that could impair operations and jeopardize confidential data.

Mitigation: Through investments in cybersecurity infrastructure, data protection measures, ongoing monitoring, and frequent evaluations of IT risks, the Group fortifies its information systems.

Credit Risk

The danger of financial loss resulting from a counterparty's noncompliance with contractual obligations is known as credit risk. Trade receivables from wholesale clients and business partners, as well as liquid financial assets, especially bank deposits, are the primary sources of the Group's credit risk.

Mitigation: The Group uses insurance contracts, advance payments when necessary, ongoing client creditworthiness monitoring, and financial counterparty diversification to reduce credit risk. Investment-grade banks handle most cash assets, which are often held for short maturities and are diversified by counterparty, nation, and currency.

Interest Rate Risk

Interest rate risk is caused by possible changes in interest rates that could influence future cash flows, especially when it comes to medium- and long-term variable-rate debt.

Mitigation: The Group transforms variable-rate exposure into fixed or range-bound rates using interest rate derivatives like swaps or collars. This strategy lowers earnings volatility and stabilizes finance costs.

Appendix

Appendix 1

1. Business Description, History

Corporate Timeline

Date	Type	Headline
Dec-02-2025	Key Development: M&A Transaction Closings	Prada S.p.A. (SEHK:1913) completed the acquisition of to acquire Gianni Versace S.r.l. from Capri Holdings Limited (NYSE:CPRI).
Oct-23-2025	Key Development: Sales/Trading Statement Calls	Prada S.p.A., Nine Months 2025 Sales/ Trading Statement Call, Oct 23, 2025
Oct-23-2025	Key Development: Announcements of Sales/Trading Statement	Prada S.P.A. Reports Unaudited Revenue Results for the Nine Months Ended 30 September 2025
Oct-23-2025	Key Development: Sales/Trading Statement Release Date	Prada S.p.A. to Report Nine Months, 2025 Sales/Trading Statement Results on Oct 23, 2025
Oct-23-2025	Key Development: Board Meeting	Prada S.p.A., Board Meeting, Oct 23, 2025
Jul-30-2025	Key Development: Earnings Calls	Prada S.p.A., H1 2025 Earnings Call, Jul 30, 2025
Jul-30-2025	Key Development: Executive/Board Changes - Other	Prada S.p.A. Announces Board Changes, Effective July 30, 2025
Jul-30-2025	Key Development: Announcements of Earnings	Prada S.p.A. Reports Earnings Results for the Half Year Ended June 30, 2025
Jul-30-2025	Key Development: Board Meeting	Prada S.p.A., Board Meeting, Jul 30, 2025

Prada S.p.A. produces and distributes leather goods, footwear, and ready to wear products worldwide. The company offers its products under the Prada, Miu Miu, Church's, and Car Shoe brands. It also operates in food sector under the Marchesi 1824 brand; sailing races business under Luna Rossa brand name; eyewear and fragrances sector under licensing agreements. The company sells its products through a network of owned operated stores, e-commerce channels, department stores, independent retailers, and e-tailers. The company was founded in 1913 and is headquartered in Milan, Italy. Prada S.p.A. operates as a subsidiary of Prada Holding S.p.A.

Appendix 2

2. Market Analysis

Region / Market	Relative Size (2024)	Growth Trend	Notes & Dynamics
Asia Pacific (excl. Japan)	~33.1% of total retail net sales	Moderate growth (~+10% to +12%)	Largest regional revenue share; solid growth supported by luxury demand in China, Korea & SEA.
Japan	~13.5% of 2024 retail net sales	High growth (Japan +3% 9M25; strong yoy in prior periods)	Strong domestic consumption and tourist flows; top single-market growth contributor historically.
Europe	~31.6% of total retail net sales	Stable growth (~+6% 9M25; +18% in prior periods)	Europe is a core market driven by both local demand and tourism spending.
Americas	~17.1% of total retail net sales	Positive growth (~+15% 9M25)	Recovering and strengthening Americas contribution, with US & Canada demand supporting expansion.
Middle East	~4.7% of total retail net sales	High growth (+21% 9M25)	Smaller share but fastest accelerating ongoing trend due to strong local spending and tourism.

Appendix 3

3. SWOT Analysis

Strenghts

- Dual-Brand Momentum: Miu Miu acts as a powerful growth catalyst (+41% in 9M-25) , while the flagship Prada brand remains a resilient cultural icon.
- Vertical Integration: With 26 owned factories (23 in Italy), Prada maintains superior control over quality, speed-to-market, and artisanal savoir-faire.
- High-Quality Retail Mix: 90% of revenues are generated through Directly Operated Stores (DOS), focusing on full-price sales and high-quality "like-for-like" growth.

Weaknesses

- Relative Scale: While a leader, Prada is smaller than diversified conglomerates like LVMH or Richemont, which may provide those peers with greater bargaining power in prime real estate acquisition.
- Integration Risks: The €1.25 billion acquisition of Versace (2025) requires a multi-year turnaround effort (24-48 months) in a challenging macroeconomic environment.

S W
O T

Opportunities

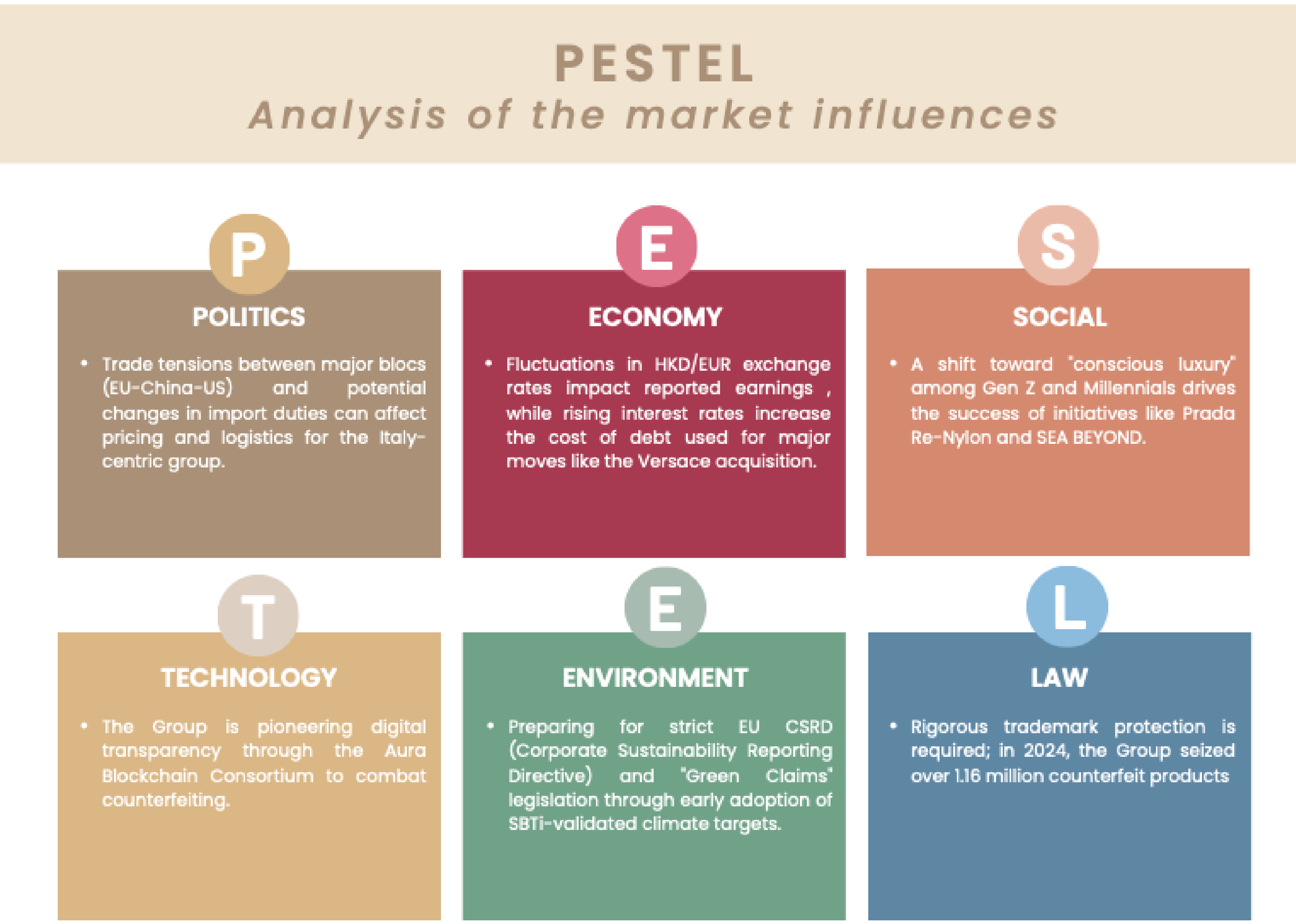
- Versace Turnaround: Unlocking Versace's untapped global potential by leveraging Prada's industrial and retail platform.
- High-Growth Regions: Expanding further into the Middle East (+21% growth) and leveraging the recovery in Mainland China.
- Product Diversification: Scaling the recent entry into the high-margin Beauty sector in collaboration with L'Oréal.

Threats

- Macro-Sector Headwinds: Sustained sector volatility and limited visibility in the "new normal" of global luxury demand.
- Intense Competition: Pressure from "Quiet Luxury" trends and the aggressive marketing spend of larger peers like Kering (Gucci) and Hermès.

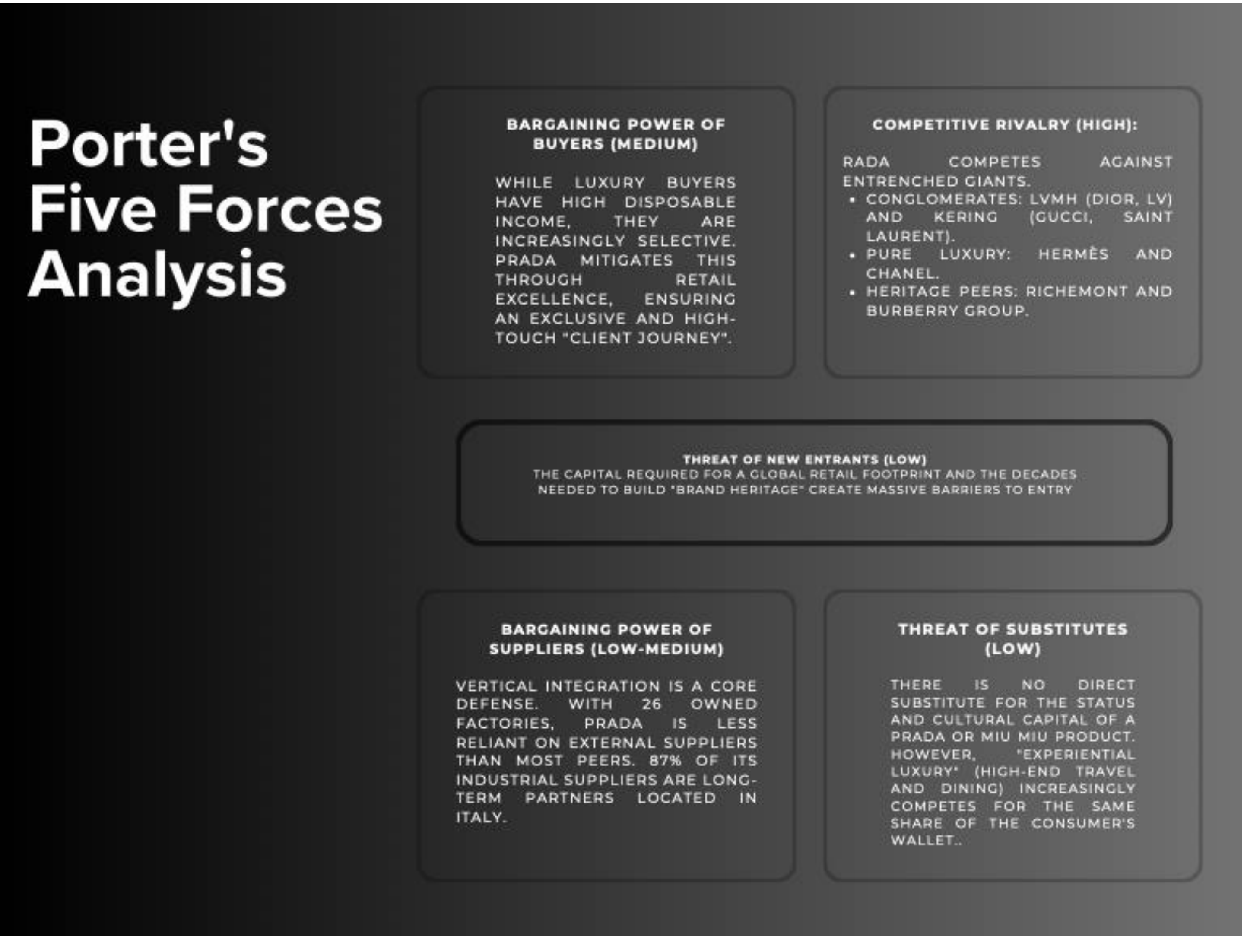
Appendix 4

4. PESTEL Analysis



Appendix 5

5. Porter's Five Forces Analysis



Appendix 6

6. PNL Historical

P&L *in millions of euros*	**2020**	**2021**	**2022**	**2023**	**2024**
Net sales	2,391	3,317	4,125	4,623	5,310
Retail net sales	-	2,931	3,737	4,190	4,849
Wholesale net sales	-	386	388	433	461
Royalties	32	49	76	104	122
Revenue	**2,423**	**3,366**	**4,201**	**4,726**	**5,432**
Cost of good sold	-679	-818	-889	-925	-1095
Gross margin	**1,743**	**2,547**	**3,312**	**3,802**	**4,337**
Total operating expenses	- 1,723	- 2,058	- 2,467	- 2,740	- 3,057
Product design & development costs	*-102*	*-115*	*-137*	*-151*	*-158*
Advertising & communication costs	*-207*	*-294*	*-359*	*-420*	*-473*
Selling costs	*-1260*	*-1421*	*-1704*	*-1873*	*-2083*
General & Administrative costs	*-154*	*-227*	*-266*	*-297*	*-343*
D&A	648	624	662	676	735
Total SG&A	- 1,414	- 1,648	- 1,970	- 2,169	- 2,426
EBITDA	**668**	**1,114**	**1,508**	**1,738**	**2,014**
EBITDA margin (%)	*27.6%*	*33.1%*	*35.9%*	*36.8%*	*37.1%*
D&A	- 648	- 624	- 662	- 676	- 735
EBIT	**20**	**489**	**845**	**1,062**	**1,280**
EBIT margin (%)	*0.8%*	*14.5%*	*20.1%*	*22.5%*	*23.6%*
Total financial expenses	-72	-68	-65	-90	-91
Interest & other financial income (expense), net	*-29*	*-31*	*-24*	*-32*	*-21*
Interest expense on lease liabilities	*-43*	*-37*	*-41*	*-59*	*-70*
Dividends from investments	*0*	*0*	*0*	*1*	*0*
Profit before income taxes	**-52**	**422**	**780**	**971**	**1189**
Taxation	- 3	- 127	- 242	- 298	- 345
Net income	**- 54**	**295**	**538**	**673**	**843**
Net income margin (%)	-2.2%	8.8%	12.8%	14.2%	15.5%
Net income - Non-controlling interests	0	1	4	2	4
Net income - Group	***- 54***	***294***	***534***	***671***	***839***

Appendix 7

7. Balance Sheet Historical

Balance Sheet *in millions of euros*	**2020**	**2021**	**2022**	**2023**	**2024**
ASSETS					
Current Assets					
Cash & cash equivalents	442	982	1092	690	1012
Trade receivables, net	290	330	332	405	424
Inventories, net	666	663	760	783	866
Derivative financial instruments - current	11	2	22	18	12
Receivables from, and advance payments to, related parties - current	51	23	2	0	0
Other current Assets	194	171	216	267	245
Total current assets	**1,655**	**2,170**	**2,425**	**2,163**	**2,559**
Non-current Assets					
Property, plant & equipment	1506	1565	1577	2033	2255
Intangible Assets	832	829	818	846	868
Right of use Assets	2054	1956	2011	2025	2279
Investments in equity instruments, associates and joint ventures	66	6	27	42	38
Deferred tax Assets	252	287	373	375	409
Other non-current Assets	143	144	139	132	139
Derivative financial instruments - non current	0	0	6	1	3
Receivables due from, and advance payments to, related parties - non current	19	1	1	0	0
Total non-current assets	**4,873**	**4,789**	**4,953**	**5,452**	**5,991**
TOTAL ASSETS	**6,528**	**6,959**	**7,378**	**7,615**	**8,550**
LIABILITIES AND EQUITY					
Current Liabilities					
Lease Liabilities - current	404	418	392	411	434
ST financial payables & bank overdrafts	301	249	161	148	183
Payables due to related parties - current	3	8	4	6	8
Trade payables	290	390	402	453	482
Tax payables	69	144	278	122	177
Derivative financial instruments - current	8	30	12	8	28
Other current Liabilities	153	180	242	302	371
Total current liabilities	**1,227**	**1,420**	**1,490**	**1,450**	**1,683**
Non-current Liabilities					
Lease Liabilities - non-current	1730	1627	1715	1700	1941
Long-term financial payables	451	493	396	338	221
Long-term employee benefits	73	74	68	61	82
Provision for risk & charges	45	59	51	50	64
Deferred tax Liabilities	29	30	41	36	43
Other non-current Liabilities	111	123	116	103	95
Derivative financial liabilities - non current	9	5	0	0	0
Total non-current liabilities	**2,449**	**2,411**	**2,387**	**2,288**	**2,447**
TOTAL LIABILITIES	**3,676**	**3,830**	**3,877**	**3,738**	**4,131**
Share Capital	256	256	256	256	256
Total other reserves	2,634	2,496	2,648	2,834	3,156
Translation reserve	- 3	67	113	93	149
Net Income for the year	- *54*	*294*	*534*	*671*	*839*
Equity attributable to the owners of the Group, net	**2,832**	**3,114**	**3,482**	**3,854**	**4,399**
Equity attributable to Non-controlling interests, net	**20**	**15**	**19**	**23**	**20**
TOTAL EQUITY	**2,852**	**3,129**	**3,501**	**3,877**	**4,419**
TOTAL LIABILITIES AND EQUITY	**6,528**	**6,959**	**7,378**	**7,615**	**8,550**

Appendix 8

8. Assumptions & Forecast

1. General assumptions

PRADA S.p.A	Historical					Projected				
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue		38.92%	24.81%	12.52%	14.92%	*5.5%*	*6.6%*	*7.8%*	*9.5%*	*8.9%*
COGS	-28%	-24%	-21%	-20%	-20%	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
SG&A	-58%	-49%	-47%	-46%	-45%	*-46.6%*	*-46.0%*	*-45.8%*	*-45.8%*	*-46.0%*
D&A	-27%	-19%	-16%	-14%	-14%	*-15.5%*	*-14.8%*	*-14.5%*	*-14.6%*	*-14.9%*
Taxes						*30.2%*	*30.2%*	*30.2%*	*30.2%*	*30.2%*

VERSACE	Historical					Projected				
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue						*6.0%*	*7.0%*	*8.0%*	*8.0%*	*8.0%*
Gross margin						*70.0%*	*70.0%*	*70.0%*	*70.0%*	*70.0%*
EBITDA						*5.0%*	*6.0%*	*7.0%*	*7.0%*	*8.0%*
EBIT						*(3.0%)*	*0.0%*	*2.0%*	*3.0%*	*3.0%*
Taxes						*30.2%*	*30.2%*	*30.2%*	*30.2%*	*30.2%*

PRADA S.p.A	Historical					Projected				
in millions of euros	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue	**2,423**	**3,366**	**4,201**	**4,726**	**5,432**	**5,730**	**6,106**	**6,583**	**7,206**	**7,844**
%growth		*38.9%*	*24.8%*	*12.5%*	*14.9%*	*5.5%*	*6.6%*	*7.8%*	*9.5%*	*8.9%*
COGS	- 679	- 818	- 889	- 925	- 1,095	- 1,146	- 1,221	- 1,317	- 1,441	- 1,569
%of sales	*-28.0%*	*-24.3%*	*-21.2%*	*-19.6%*	*-20.2%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
Gross margin	**1,743**	**2,547**	**3,312**	**3,802**	**4,337**	**4,584**	**4,885**	**5,267**	**5,765**	**6,275**
%of sales	*72.0%*	*75.7%*	*78.8%*	*80.4%*	*79.8%*	*80.00%*	*80.00%*	*80.00%*	*80.00%*	*80.00%*
SG&A	-1414.24	-1648.30	-1970.34	-2169.18	-2425.96	*-2670.86*	*-2809.88*	*-3014.89*	*-3298.38*	*-3612.03*
%of sales	*-58%*	*-49%*	*-47%*	*-46%*	*-45%*	*-46.6%*	*-46.0%*	*-45.8%*	*-45.8%*	*-46.0%*
EBITDA	**668**	**1,114**	**1,508**	**1,738**	**2,014**	**1,913**	**2,075**	**2,252**	**2,466**	**2,663**
%of sales	*27.6%*	*33.1%*	*35.9%*	*36.8%*	*37.1%*	*33.39%*	*33.98%*	*34.20%*	*34.23%*	*33.95%*
D&A	*-648*	*-624*	*-662*	*-676*	*-735*	*-798*	*-838*	*-910*	*-992*	*-1082*
%of sales	*-26.7%*	*-18.5%*	*-15.8%*	*-14.3%*	*-13.5%*	*-13.92%*	*-13.72%*	*-13.82%*	*-13.77%*	*-13.80%*
EBIT	**20**	**489**	**845**	**1,062**	**1,280**	**1,116**	**1,237**	**1,342**	**1,474**	**1,581**
%of sales	*0.8%*	*14.5%*	*20.1%*	*22.5%*	*23.6%*	*19.47%*	*20.26%*	*20.38%*	*20.46%*	*20.16%*
Interest expense	-72	-68	-65	-90	-91					
Taxes	- 3	- 127	- 242	- 298	- 345	- 337	- 374	- 405	- 445	- 477
Net income	**- 54**	**295**	**538**	**673**	**843**	**779**	**863**	**937**	**1,029**	**1,103**
%of sales	*-2.2%*	*8.8%*	*12.8%*	*14.2%*	*15.5%*	*13.6%*	*14.1%*	*14.2%*	*14.3%*	*14.1%*

Appendix 9

9. Assumptions & Forecast

VERSACE	Historical *					Projected				
in millions of US dollars	**2021**	**2022**	**2023**	**2024**	**2025**	**2025**	**2026**	**2027**	**2028**	**2029**
Revenue	**718**	**1088**	**1106**	**1030**	**821**	**870**	**931**	**1,006**	**1,086**	**1,173**
% growth		*51.5%*	*1.7%*	*-6.9%*	*-20.3%*	*6.0%*	*7.0%*	*8.0%*	*8.0%*	*8.0%*
COGS										
% of sales										
Gross margin			829	724	575	**609**	**652**	**704**	**760**	**821**
% of sales			*75.0%*	*70.3%*	*70.0%*	*70.00%*	*70.00%*	*70.00%*	*70.00%*	*70.00%*
EBITDA			214	80	4	**44**	**56**	**70**	**76**	**94**
% of sales			*19.3%*	*7.8%*	*0.5%*	*5%*	*6%*	*7%*	*7%*	*8%*
EBIT			163	25	-54	- **26**	**-**	**20**	**33**	**35**
% of sales			*14.7%*	*2.4%*	*-6.6%*	*-3.00%*	*0.00%*	*2.00%*	*3.00%*	*3.00%*
Taxes						**8**	**0**	**-6**	**-10**	**-11**
Net income						**-18**	**0**	**14**	**23**	**25**
% of sales										

3. Consolidated PNL

PRADA	Projected				
in millions of euros	**2025**	**2026**	**2027**	**2028**	**2029**
Revenue	**6,470**	**6,897**	**7,438**	**8,129**	**8,841**
% growth		*6.6%*	*7.8%*	*9.3%*	*8.8%*
Gross margin	**5,102**	**5,439**	**5,865**	**6,411**	**6,973**
% of sales	*78.9%*	*78.9%*	*78.9%*	*78.9%*	*78.9%*
EBITDA	**1,950**	**2,122**	**2,312**	**2,531**	**2,743**
% of sales	*30.1%*	*30.8%*	*31.1%*	*31.1%*	*31.0%*
EBIT	**1,094**	**1,237**	**1,359**	**1,502**	**1,611**
% of sales	*16.9%*	*17.9%*	*18.3%*	*18.5%*	*18.2%*
D&A	**857**	**885**	**953**	**1,029**	**1,132**
% of sales	*13.2%*	*12.8%*	*12.8%*	*12.7%*	*12.8%*

Appendix 10

10. DCF Valuation Model

II. Discounted Cash Flows

1. Free Cash Flow to the Firm calculation

FCFF	Projected				
in millions of euros	**2025**	**2026**	**2027**	**2028**	**2029**
Turnover	6,470	6,897	7,438	8,129	8,841
EBIT	1,094	1,237	1,359	1,502	1,611
Taxes	- 330	- 374	- 410	- 454	- 486
NOPAT	**763**	**863**	**949**	**1,048**	**1,124**
D&A	857	885	953	1,029	1,132
Changes in WCR	162	133	86	111	114
CAPEX	539	533	527	586	604
FCFF	**919**	**1,083**	**1,287**	**1,381**	**1,539**
% growth		*7%*	*8%*	*9%*	*9%*

WACC calculation

$$WACC = \frac{Debt}{Debt+Equity} \times k_d \times (1-t) + \frac{Equity}{Debt+Equity} \times k_e$$

Cost of equity (ke)	**8.45%**
Company's beta (5Y Monthly) **(ß)**	0.94
Risk free-rate **(Rf)**	3.51%
Equity risk premium **(Rm - Rf)**	5.25%

After-tax Cost of debt (kd x (1-t))	**0.53%**
Interest & other financial income (expenses) (2024)	21
Total debt (2024)	2,797
Effective taxe rate	30.60%

Capital Structure (Debt + Equity)	**17,830**
Total Equity (2024)	15,033
Total Debt (2024)	2,797
Equity weight	**84%**
Debt weight	**16%**

WACC	**7.20%**

Appendix 11

10. DCF Valuation Model

3. Terminal Value

FCFF	Projected				
in millions of euros	2025	2026	2027	2028	2029
FCFF	**919**	**1,083**	**1,287**	**1,381**	**1,539**

Terminal value	**31,770**

$$\text{Terminal Value (for FCFF)} = \frac{FCF_n(1+g)}{WACC-g}$$

4. Discounted terminal value and FCFF

	1	2	3	4	5
FCFF	Projected				
in millions of euros	2025	2026	2027	2028	2029
FCFF	919	1,083	1,287	1,381	1,539
Terminal value					31,770
Discount factor	0.933	0.870	0.812	0.757	0.706
Discounted FCFF	**857**	**942**	**1,045**	**1,046**	**1,087**
Discounted Terminal value					**22,438**

Total DCFF	**4,977**
Total discounted Terminal value	**22,438**
Entreprise value	**27,415**

Enterprise Value	27,415	
Cash *(on 30/06/2025)*	598	>>> *Source: Capital IQ*
Debt	2,797	
Equity Value	**25,216**	
Number of shares	2,559	>>> *Source: Capital IQ*
Share Price (in EUR)	**9.9**	

Appendix 12

11. Relative Valuation Model

MULTIPLES

Company	Market Cap (in EUR)	Enterprise Value (in EUR)	EV/EBITDA
Prada S.p.a	12600	14800	7.10
Kering	36910	52120	13.31
Hermes	222460	214200	28.19
Richemont	127730	125550	16.17
Burberry Group	6120	7590	12.49
		Median	13.31

LTM EBITDA	2014
Enterprise Value	26809
Cash(30/06/2025)	598
Debt	2797
Equity Value	24610
Number of Shares	2559
Share Price	9.62
Today's share price (in EUR	4.96
Upside	94%

Today's share price (in EUR)	4.96
Upside	**94%**

Appendix 14

12. Governance

Governance Body	Role / Purpose	Key Responsibilities
Board of Directors	Supreme governing body	- Sets strategic direction and long-term objectives- Approves financial statements and major investments- Oversees risk management and internal control frameworks
Chairperson of the Board	Leads the Board	- Ensures effective Board functioning- Represents the Board in external relations- Provides leadership and governance supervision
Chief Executive Officer (CEO) *(or Group CEO / Managing Director)*	Executive leadership	- Implements strategy approved by the Board- Manages day-to-day operations- Responsible for business performance and operational decisions
Board Committees	Specialized oversight groups	**Typical committees include:-** *Audit and Risk Committee- Remuneration Committee- Nomination Committee*Each committee supports the Board by focusing on specific governance areas.
Audit and Risk Committee	Financial & risk oversight	- Monitors financial reporting quality- Oversees internal audit functions- Reviews risk management systems and compliance with law
Remuneration Committee	Executive compensation governance	- Sets policies for executive remuneration- Ensures incentives align with long-term shareholder value
Nomination Committee	Board composition governance	- Evaluates and proposes candidates for the Board- Supports succession planning and skills balance
Statutory Auditors / Board of Statutory Auditors	Legal compliance monitoring	- Supervises compliance with applicable laws and articles of association- Oversees accounting controls and statutory audit process
Independent Auditors (External)	Financial auditing	- Conducts independent audit of financial statements- Issues audit reports to shareholders
General Shareholders' Meeting	Ultimate shareholder authority	- Approves financial statements and dividend distribution- Elects Board members and Statutory Auditors